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3M Co. | North America

Margin Expansion Delivers, but EBO (Data Center) Steals the Show

MORGAN STANLEY & CO. LLC

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3M Co. (MMM.N, MMM US)

Multi-Industry | United States of America

Stock Rating	**Equal-weight**
Industry View	**Attractive**
Price target	**$189.00**
Shr price, close (Oct 20, 2026)	$171.37
Mkt cap, curr (mm)	$89,558
52-Week Range	$184.84-139.40

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS ($)**	8.20	9.14	10.05	10.20
Prior EPS ($)**	8.06	8.89	9.89	10.19
P/E	19.5	18.8	17.0	16.8
EPS ($)§	8.02	8.93	9.82	10.56
Div yld (%)	1.8	1.8	1.8	1.8

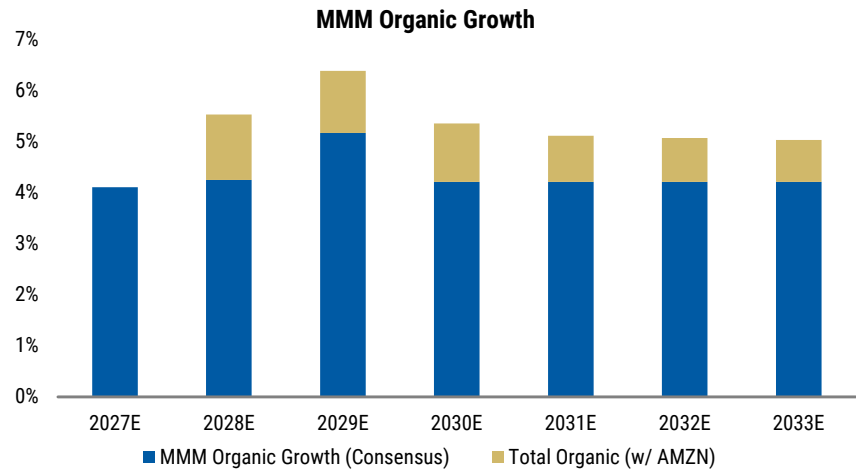
Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

QUARTERLY EPS ($)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	1.91	-	2.18a	2.27	2.29
Q2	2.20	-	2.44a	2.65	2.62
Q3	2.23	-	2.50a	2.68	2.80
Q4	1.86	1.99	2.03	2.30	2.36

e = Morgan Stanley Research estimates, a = Actual Company reported data

Exhibit 1: If Amazon fulfills its $6B of MMM data center revenue target over the next seven years (assuming ~$300M growth/yr starting in 2028), this would represent +100bps of incremental total company organic growth for MMM



Source: Company data, Visible Alpha, Morgan Stanley Research

Coming into Q3, our primary concern centered on softness in organic growth for consumer-levered business lines + lower margins in Transportation & Electronics from lower mix of consumer electronics (link). While these concerns materialized for T&E (~150bps miss on organic & ~100bps miss on margins vs. cons), **the broader takeaway from the quarter was that margin expansion overall came in much better than expected,** as MMM's gross margins expanded +229bps YoY to 42.3%, the highest GM mark since 3Q22, driven by strong incrementals on volume leverage and operational excellence initiatives coming through (productivity, procurement, logistics, factory closures). Operating margins also expanded 150bps (excluding the 40bps impact from accounting change to add back acquired amortization), an impressive mark considering the YoY headwinds the company faced from and 20bps margin headwind from offsetting oil price inflation.

As strong as the margin performance was, the focus of the day was squarely on

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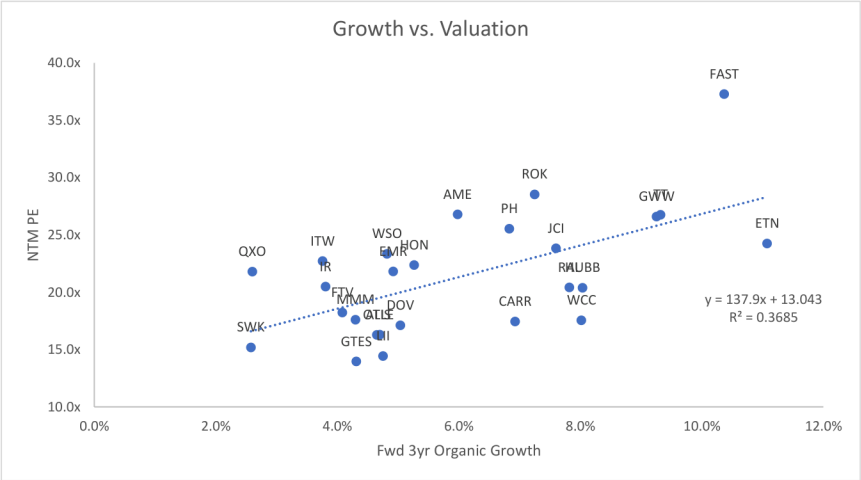
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MMM's data center opportunity in the wake of the respective Amazon (potentially $6B of MMM data center revenue over next 7 years; covered by Brian Nowak) and GSEO (contract manufacturer) agreements announced the day before. **While the AMZN agreement is not a firm purchase commitment that's in backlog, it provides a framework for targeted revenue that helps quantify how big the hyperscaler opportunity could be for MMM.** If Amazon were to meet this $6B target in 7 years, this would provide nearly +100bps of incremental organic growth for MMM (Exhibit 1). This incremental growth would move MMM solidly into the MSD growth category, and would likely justify a re-rating of the NTM PE multiple towards ~20x from the high-teens range the company trades in today (Exhibit 2). The current guide for Expanded Beam Optics (~$40M of revenue this year, doubling next year) does not factor in any revenue from this agreement and the revenue ramp is expected to be more of a 2028 story, but we would expect to get more clarity on the opportunity when MMM announces 2027 guidance in January.

Looking to 2027, we see **continued headwinds to Consumer organic (~80bps below cons.)** from worsening macro (higher interest rates, inflation) but conversely see **tailwinds on the margin expansion front** as the company will lap productivity actions that drove >200bps of GM expansion this quarter, there are more factory closures on the way (16 YTD, 10 more over NTM), and management has signaled volume incrementals towards the high end of the 30%-40% range, partially offset by a ~$250M YoY headwind from stranded costs (~$50M) + growth investments (~$200M). Tariffs and oil remain the wildcard, as either an unchanged tariff environment or lower oil prices would create additional YoY tailwinds for next year. **Management talked to ~80bps of margin expansion YoY (vs. cons modeling +100bps), which feels conservative** given that run-rating the ~150bps of operating margin improvement from Q3 over the next three quarters already gets to ~75bps for next year before any additional productivity actions are factored in.

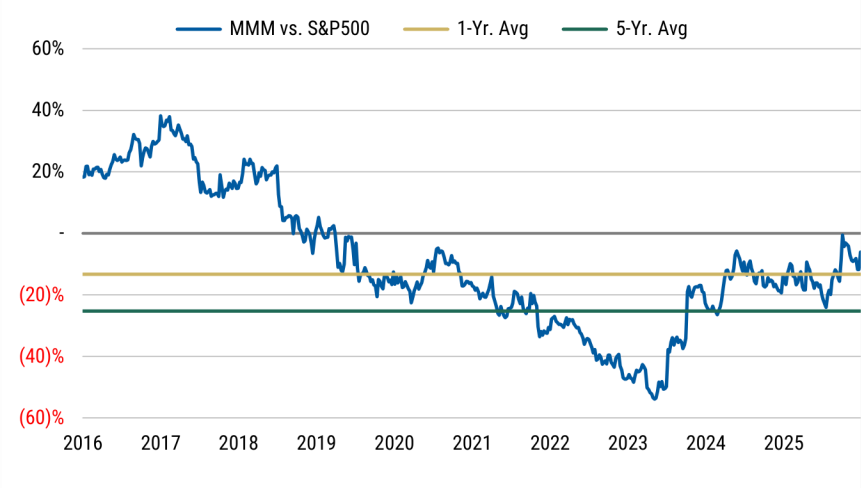
That being said, without more certainty around the AMZN revenue ramp, **we don't see this quarter as being enough to drive positive revisions over the coming months,** as the expected 4Q exit rate of >4% organic growth is only in line with the Street estimate of ~4.1% organic growth for 2027. The 4Q call will be the next important catalyst as more clarity on the AMZN data center ramp and the potential announcement of another hyperscaler deal (MSFT partnership announced in July, AMZN in October and testing with four others now) will give the market more confidence in underwriting higher organic growth, shifting the narrative (and multiple) from a margin story to more a growth story.

Exhibit 2: If MMM can add +100bps of organic growth from the AMZN agreement, this would justify a 1-2x re-rating of the multiple



Source: Visible Alpha, FactSet, Morgan Stanley Research

Exhibit 3: MMM NTM PE vs. S&P500



Source: FactSet, Morgan Stanley Research

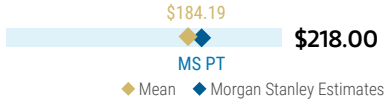
Risk Reward – 3M Co. (MMM.N)

Derated and Turning

PRICE TARGET $189.00

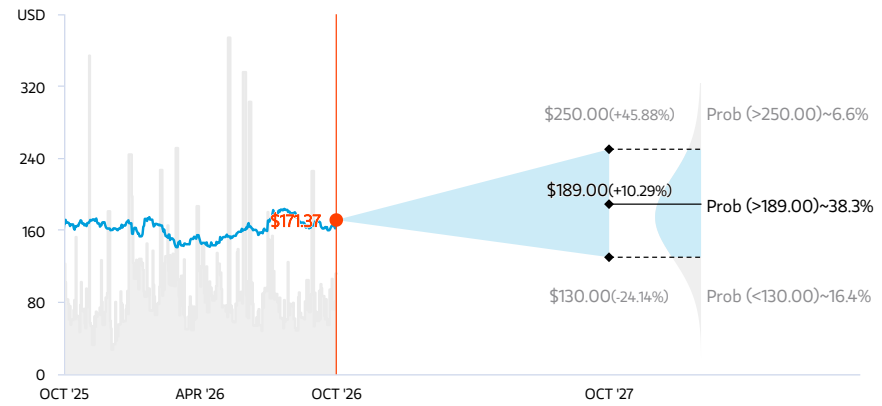
We value shares at ~21x blended '27/'28 EPS and debit out the net impact of PV of after-tax litigation liabilities (MSe) + SOLV ownership position. The ~21x multiple represents a MSD premium to the S&P 500, closer to pre-2019 levels, giving the company credit for self-help initiatives driving macro outgrowth in 2026. We lean on sum-of-the-parts to further support valuation methodology.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



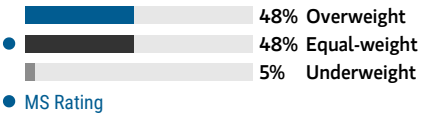
Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 Oct 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

EQUAL-WEIGHT THESIS

- See a more balanced risk-reward following a lowered organic growth bar across Consensus estimates (now 2-3% vs. ~4% prior)
- Optimism around new CEO Bill Brown's ability to deliver OM expansion is being validated as company has both expanded ~200bps YoY and outgrown a weak macro environment, which justifies the multiple re-rating.
- MMM organic has lagged nominal GDP by 400 bps pa over the last decade, but this gap is now closer to ~100bps, as self-help initiatives (new product introductions, OTIF) are starting to show up in topline growth.
- Path to recovery could push right on growth investment initiatives and potential organic exits.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth:	*Negative*
Self-help:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE $250.00

~22x blended '27/'28 EPS, net of liabilities +SOLV

Model ~5% organic through 2028 on improved consumer spend and channels flipping destock to restock. We model sharp OM expansion to ~26.5% by 2027 (vs 23.4% in 2025) behind a combination of self-help and volume leverage. Value shares at ~23.0x blended '27/'28 EPS and debit out the net impact of PV of after-tax litigation liabilities (MSe) + SOLV ownership position. The 25x multiple represents a 20

% premium to the S&P 500, in line w/ MMM shares from 2014-19 (pre PFAS concerns).

BASE CASE $189.00

~21x blended '27/'28 EPS, net of liabilities +SOLV

We model LSD organic growth through 2028 on pressured consumer goods spend. Anticipate strong OM expansion through '26 on self-help, partially offset by tariffs. Value shares at ~21x blended '27/'28 EPS, debiting out the net impact of PV of after-tax litigation liabilities (MSe) + SOLV ownership position. Our ~21x multiple represents a MSD premium to the S&P 500, giving company credit for self-help initiatives driving continued macro outgrowth in 2026. We use SoTP to further support valuation.

BEAR CASE $130.00

~18x blended '27/'28 EPS, net of liabilities +SOLV

We model flat/LSD organic growth through 2028, as consumer pressure drives soft end market demand and cont'd channel destock. Model modest OM expansion through '27 on self-help, partially offset by tariffs. Value at ~18x blended '27/'28 EPS and debit out the net impact of PV of after-tax litigation liabilities (MSe) + SOLV position. The ~18x multiple is below the peer avg., but reflects a positive shift in our view due to 3M's '25 growth in a soft macro. We use SoTP to further support valuation.

Risk Reward – 3M Co. (MMM.N)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Organic Growth (%)	2.4	3.5	3.8	2.0
Operating Margin (%)	23.9	24.7	25.8	25.9

CATALYST CALENDAR

Source: Refinitiv, Morgan Stanley

Date	Event
18 Jan 2027 - 22 Jan 2027	Q4 2026 3M Co Earnings Release

INVESTMENT DRIVERS

- Consumer spend - a top driver of 3M organic growth
- Restructuring initiatives to expand margins in the absence of volume growth
- Litigation liabilities - 3M has made nice progress but overhang remains (US Fed + State Water, Personal Injury, EU PFAS).

GLOBAL REVENUE EXPOSURE



- 0-10% APAC, ex Japan, Mainland China and India
- 0-10% India
- 0-10% Japan
- 0-10% Latin America
- 0-10% MEA
- 0-10% UK
- 10-20% Europe ex UK
- 10-20% Mainland China
- 40-50% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger organic growth - drives topline upside, better operating leverage & ultimately a catalyst for further re-rating
- Sharper NTM margin expansion on both existing restructuring program and fresh initiatives behind new CEO Bill Brown

RISKS TO DOWNSIDE

- Cont'd consumer pressure weighs on organic growth outlook
- Softer margin progression on higher re-investment to drive future growth
- Higher litigation liabilities.

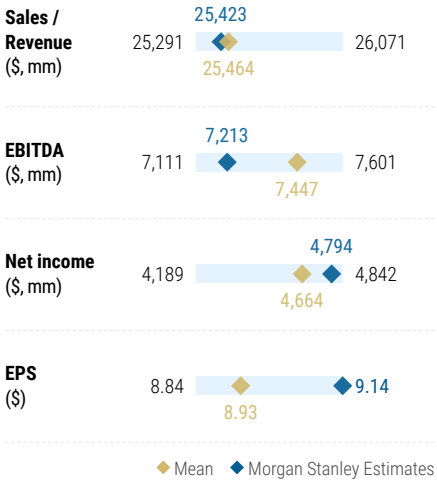
OWNERSHIP POSITIONING

Inst. Owners, % Active	52.8%
HF Sector Long/Short Ratio	1.4x
HF Sector Net Exposure	9.1%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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Global Stock Ratings Distribution

(as of September 30, 2026)

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For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

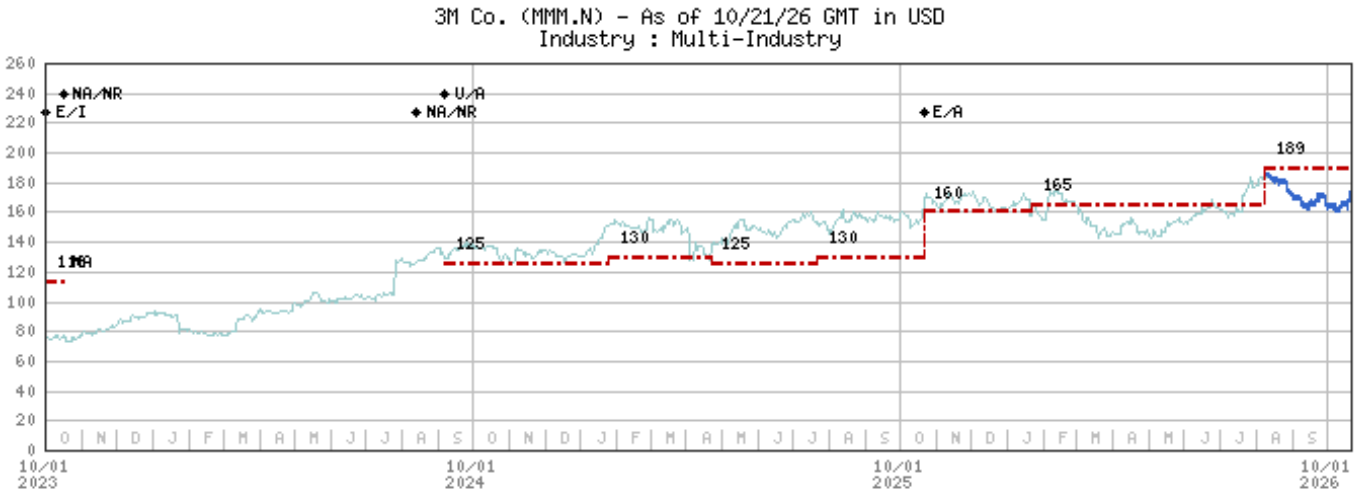
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

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Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 10/1/21 : E/I; 2/17/22 : U/I; 8/31/23 : E/I; 10/16/23 : NA/NR; 8/13/24 : NA/NR; 9/6/24 : U/A; 10/21/25 : E/A

Price Target History: 7/28/21 : 213; 10/7/21 : 193; 10/27/21 : 194; 1/14/22 : 185; 2/17/22 : 150; 4/7/22 : 145; 4/27/22 : 138; 7/15/22 : 126; 7/27/22 : 131; 10/12/22 : 108; 10/26/22 : 110; 4/19/23 : 103; 4/26/23 : 102; 6/27/23 : 100; 7/26/23 : 102; 8/31/23 : 113; 10/16/23 : NA; 9/6/24 : 125; 1/24/25 : 130; 4/22/25 : 125; 7/22/25 : 130; 10/21/25 : 160; 1/21/26 : 165; 8/9/26 : 189

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/20/2026)
Brandon Knutson		
3M Co. (MMM.N)	E (10/21/2025)	$171.37
Acuity Inc. (AYI.N)	O (01/14/2025)	$311.02
Allegion Public Limited Company (ALLE.N)	E (01/06/2025)	$157.03
Alliance Laundry Holdings Inc (ALH.N)	E (11/03/2025)	$21.44
Dover Corp (DOV.N)	E (04/14/2025)	$197.14
Fortive Corp (FTV.N)	E (09/02/2025)	$58.36
Gates Industrial Corporation PLC (GTES.N)	E (09/06/2024)	$26.10
Honeywell International Inc (HON.O)	E (09/06/2024)	$213.32
Ingersoll Rand INC (IR.N)	E (09/06/2024)	$78.59
Mirion Technologies Inc (MIR.N)	E (01/23/2026)	$15.24
Otis Worldwide Corp (OTIS.N)	E (09/06/2024)	$72.07
Ralliant Corporation (RAL.N)	O (09/02/2025)	$66.95
Stanley Black & Decker Inc (SWK.N)	E (09/06/2024)	$94.09
Christine Yao		
Ametek Inc. (AME.N)	E (04/14/2025)	$247.36
Fastenal Co. (FAST.O)	E (09/06/2024)	$51.65
Forgent Power Solutions (FPS.N)	E (03/02/2026)	$30.23
Parker-Hannifin Corp (PH.N)	E (06/05/2025)	$944.61
QXO Inc (QXO.N)	O (08/04/2026)	$10.46
Teledyne Technologies Inc. (TDY.N)	E (12/12/2022)	$632.21
W.W. Grainger Inc. (GWW.N)	E (09/06/2024)	$1,335.96
Watsco Inc (WSO.N)	E (04/14/2025)	$301.85
Toby Okwara		
Carrier Global Corp. (CARR.N)	E (09/06/2024)	$56.17
Eaton Corporation PLC (ETN.N)	++	$381.98

Emerson Electric Co (EMR.N)	U (09/06/2024)	$160.46
Hubbell Inc. (HUBB.N)	E (09/06/2024)	$459.32
Johnson Controls International Plc (JCI.N)	O (09/06/2024)	$147.94
Lennox International Inc (LII.N)	U (01/06/2025)	$363.77
Rockwell Automation (ROK.N)	O (09/06/2024)	$427.77
Trane Technologies PLC (TT.N)	O (09/06/2024)	$461.42
Vertiv Holdings Co. (VRT.N)	O (01/06/2025)	$203.56

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* Historical prices are not split adjusted.

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